Profit First: Why ESG Works Only When It Pays

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Few ideas in business are argued about as much as ESG, the practice of judging companies on their environmental, social and governance record as well as on their profits. Supporters say it helps investors see long-term risks that prices miss. Critics on one side follow Milton Friedman (1970), who argued that the social responsibility of a business is to increase its profits within the rules of the game. Critics on the other side say ESG is mostly a public relations exercise.

My own view sits between these. I think that for a company, making money comes first, and ESG is in second or third place. Firms adopt ESG when it helps them earn money, and they present it to the public in the most attractive way they can. That is not necessarily a bad thing. But it tells us how we should judge ESG and how governments should regulate it.

WHEN ESG PAYS

There are at least three ways in which ESG can help a company's profits.

The first is reputation. Customers, employees and investors increasingly care about how a company behaves, and a good record on the environment or on working conditions can protect a brand. This is the part of ESG that is easiest to see, because companies have every reason to advertise it.

The second is the cost of borrowing. Lenders want to know whether a company will repay, and governance is part of the answer. During my internship at TEB Factoring, I was surprised by how much weight the credit team gave to the track record and credibility of a company's management, not only to its financial statements. A firm with honest accounts and reliable managers is a safer borrower and can get better terms. In that case the "G" in ESG is simply good business.

The third is access to markets. From 1 January 2026, importers into the European Union must buy certificates to cover the carbon emitted in producing goods such as steel, cement and fertilisers, under the EU's Carbon Border Adjustment Mechanism (European Commission, 2026). For a Turkish steel exporter, cutting emissions is no longer only an ethical choice. It now affects the price at which the firm can sell in its largest export market. Once pollution has a price, the "E" becomes part of the profit calculation.

WHEN IT DOES NOT

The problems start when ESG costs money and the benefit is hard to see. If customers cannot easily check a company's claims, the profit-maximising strategy is to do the minimum and talk about it as much as possible. This is what people mean by greenwashing.

Investors find it hard to tell the difference, because ESG ratings do not agree with each other. Berg, Kölbel and Rigobon (2022) compared the ratings of six major providers and found an average correlation of only 0.54. For governance, the average was just 0.30, and for some pairs of raters it was close to zero. If two experts can look at the same company and reach very different scores, a rating is a weak guide to how the company really behaves.

Even governments have stepped back when the costs became clear. In 2026 the EU agreed to narrow its corporate sustainability reporting rules so that, from financial years starting in 2027, they apply mainly to companies with more than 1,000 employees and more than 450 million euros in turnover, and it limited how much information large firms can demand from smaller suppliers (A&O Shearman, 2026). The change was presented as a way to reduce the burden on business, which suggests that even policymakers see much of ESG reporting as a cost rather than a source of value.

WHAT FOLLOWS

If profit really is the main motive, then Friedman was partly right: we should not expect companies to put social goals ahead of earnings for long. But his argument also contains a condition that is often forgotten. Firms maximise profits within the rules, so the rules decide what kind of behaviour is profitable. The most effective ESG policies are therefore the ones that change the profit calculation directly, such as a carbon price, rather than the ones that rely on companies' goodwill or on ratings that disagree.

Seen this way, the question to ask about ESG is not whether companies mean it. Most of them, I think, take it as seriously as it pays and as far as it protects their reputation. The useful question is whether the rules make the responsible choice the profitable one. Where they do, as with carbon pricing at the EU border, ESG changes behaviour. Where they do not, it is more likely to change how a company describes itself than what it actually does.

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